

## **Ecommerce Sales Analysis – Problem Statement**

Despite consistent growth in sales from 2011 to 2014, the business faces underlying structural issues that impact overall efficiency and long-term sustainability.

### **Core Problems:**

#### **1. Low Profit Margins**

Revenue growth is not translating into proportional profit growth. Margins remain relatively low, indicating inefficiencies in pricing, cost structure, or discount strategies.

#### **2. High Discount Impact**

Frequent and high discounting reduces profitability, with some transactions generating minimal or negative profit.

#### **3. Category Imbalance**

A few categories dominate revenue, while others (such as Furniture) underperform, leading to uneven contribution across the business.

#### **4. Revenue Concentration Risk**

Sales are heavily dependent on a limited number of subcategories, increasing vulnerability if demand shifts.

#### **5. Seasonal Dependency**

The business relies heavily on peak sales periods, particularly toward the end of the year, which creates instability during off-peak months.

### **Problem Summary:**

The business is growing, but inefficiently. Without addressing profit margins, discount strategies, and product dependency, long-term scalability and stability remain at risk.

### **Objective Moving Forward:**

Shift focus from revenue growth to profitable growth by improving margins, optimizing product strategy, and reducing operational risks.